

**SUBSTITUTE FOR
SENATE BILL NO. 731**

A bill to amend 2008 PA 295, entitled
"Clean and renewable energy and energy waste reduction act,"
(MCL 460.1001 to 460.1232) by adding part 9.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

PART 9.

DISTRIBUTED GENERATION AND STORAGE

Sec. 241. As used in this part:

(a) "Aggregator" means a party, other than an investor-owned electric utility or its affiliate, that represents and aggregates grid services provided by distributed energy resources, including eligible electric generators and demand response resources.

(b) "Behind-the-meter eligible electric generator" means an eligible electric generator that is connected to the customer's



1 electrical load and located on the customer side of the customer
2 meter.

3 (c) "Demand response resource" means an application or
4 solution that can be controlled to respond to pricing or to provide
5 services, including demand response functions.

6 (d) "Distributed energy resource" means a device or technology
7 that interfaces with and is connected to a distribution system
8 through connection to an electric utility's wiring or an end-use
9 customer's system. Distributed energy resource includes eligible
10 electric generators and energy storage systems capable of exporting
11 active power to a distribution system or providing demand response
12 functions.

13 (e) "Eligible electric generator" means a customer's renewable
14 energy system, energy storage system, electric vehicle,
15 cogeneration facility, or waste heat recovery system, which may be
16 coupled to or colocated with an energy storage system, that meets
17 both of the following requirements:

18 (i) Is located in this state.

19 (ii) Has a generation capacity that is consistent with the
20 safety and reliability requirements of the customer's
21 interconnection.

22 (f) "Energy storage system" means any technology that is
23 capable of absorbing energy, storing the energy for a period of
24 time, and then redelivering the energy. Energy storage system does
25 not include either of the following:

26 (i) Fossil fuel storage.

27 (ii) Power-to-gas storage that directly uses fossil fuel
28 inputs.

29 (g) "Enterprise distributed energy resources management



1 system" means a platform operated by the electric utility that
2 interfaces with a grid-edge distributed energy resources management
3 system to communicate with or control distributed energy resources.

4 (h) "Grid-edge distributed energy resources management system"
5 means a platform owned by a party other than the electric utility
6 that may be used to communicate with or control distributed energy
7 resources or demand response resources.

8 (i) "Program event" means a period of time during which an
9 aggregator is required to provide grid services in response to a
10 notification provided by the electric utility.

11 Enacting section 1. This amendatory act does not take effect
12 unless Senate Bill No. ____ (request no. S02283'25) or House Bill
13 No. ____ (request no. H02283'25) of the 103rd Legislature is
14 enacted into law.